

THE LANDRY SYSTEM — HARD RULES LIST

Version 1.04 (revised 2026-10-01) | 51 numbered Hard Rules, Parts 3–10 | Printed October 5, 2026

Condensed from the Master Rule Register of LANDRY_SYSTEM_v1-04_FINAL.docx; every threshold is the rulebook's own. Rule numbers are one running sequence: inserting a rule rennumbers every later one (v1.04 inserted Rule 5, so the entry rules are now 6–14 and the sell triggers 22–35). If this list and the text inside a Part ever differ, the Part governs.

From v1.03: Rules 1–4 are unchanged; every v1.03 rule from 5 onward is one number higher.

PART 3 — Composite Score & Confidence	
1	Tier 1 floor. A Tier 1 weighted average below 3.0 cannot qualify as Buy or Strong Buy. (Tier 1 weighted average = Σ Tier 1 score $\times$ weight $\div$ 0.70.)
2	Tier 1 score of 1. Any Tier 1 indicator scored at 1 requires a mandatory qualitative review before any decision.
3	Two weak Tier 1s. Two or more Tier 1 indicators scored at 2.0 or below automatically classify the stock as Avoid.
4	Low-confidence cap. Two or more Tier 1 indicators tagged Low Confidence: no Strong Buy. Cap the classification at Buy until re-scored with better data.
5	Technical / momentum floor. Relative Strength vs. SPY or Technical Trend scored at 1, at initial scoring or any later re-score, requires a mandatory qualitative review before a Buy or Strong Buy classification is relied upon, for a new entry or a position already held. Not an automatic reclassification: document the conclusion (reaffirmed, resized, or referred to Part 6) in the Journal.

PART 4 — Entry Rules	
6	Composite. Composite Score of 65 or higher.
7	Tier 1 average. Tier 1 weighted average of 3.0 or higher.
8	No Tier 1 at 1. No Tier 1 indicator scored at 1.
9	Technical staging. Price above the 200-week moving average, or reclaimed within the past 6 months: standard initial sizing. Otherwise the first purchase is limited to 50% of the normal initial size, with a 90-day technical review.
10	Monthly MACD. Positive or turning positive: standard staging. Negative: initiate only at the reduced size in Rule 9. Technical weakness alone does not override a qualifying fundamental case.
11	Binary events. No near-term binary event risk unless the thesis explicitly includes it.
12	Bear Case. At entry, compute the implied 5-year annualized total return under a documented Bear Case (non-cyclicals: cut the Base Case FCF growth assumption by at least 50% and use a conservative terminal multiple; cyclicals: a documented trough-cycle assumption). It must be 0% or higher; if negative, do not enter regardless of Composite Score.
13	Scenarios. At entry and at each annual re-score, document Bull, Base and Bear, each with its own implied 5-year return and a Likely / Possible / Unlikely tag. Exactly one is Likely. No numeric probabilities.
14	Valuation ceiling. No new nonfinancial operating-company position when P/FCF exceeds 50x, unless both (a) documented consensus FCF growth exceeds 30% annualized for at least the next two years and (b) the Bear Case clears the 0%-or-higher implied-return threshold. Use the Part 10 substitute where P/FCF is not economically meaningful.

PART 5 — Position Sizing	
15	Position cap. No single position above 8% of portfolio at cost.
16	Sector cap. No single sector above 25% of portfolio.
17	Position floor. At least 12 qualifying positions in a fully invested portfolio (12 is a floor, not a guarantee).
18	Cash band. Cash always between 5% and 15%, for dry powder and risk management.
19	No threshold lowering. If fewer than 12 candidates qualify (Composite Score 65 or higher), do not lower the threshold to reach full investment. Hold the difference in cash.
20	Leverage cap. Nonfinancial operating companies with Debt/FCF above 5x are capped at Composite 65 (no Strong Buy); the -1% sizing modifier applies above 4x. For financials and other businesses where Debt/FCF is not meaningful, use the Part 10 balance-sheet substitute.
21	Beta overlay. Use 5-year weekly beta, 2-year as fallback. Reduce the maximum full position by 1% for beta 1.40 to 1.59 and by 2% for beta 1.60 or higher; total beta adjustment capped at 2%. A sizing input only: investigate material disagreement across data sources, and assign Low Confidence when no reliable estimate exists.

PART 6 — Exit & Sell Discipline	
<i>Sell triggers — fundamental (act within 30 days of confirmation)</i>	
22	FCF Yield & Trend falls to 1 for two consecutive quarters.
23	Competitive Moat degrades from durable to absent.
24	ROIC falls below WACC for two consecutive years.
25	Management quality falls to 1 because of destructive capital allocation.
26	Revenue growth turns negative for two consecutive quarters without a credible cyclical explanation (a documented cycle rationale applies here as in Part 4).
<i>Sell triggers — valuation (trim or sell when price exceeds intrinsic value), then score-band rules</i>	
27	Debt-to-FCF exceeds 6x with no credible deleveraging path.
28	P/FCF rises above 50x while FCF growth is below 15%.
29	Implied 5-year annualized return falls below 7%.
30	Position size grows above the maximum full position because of appreciation.
31	Strong Buy to Buy. A re-score from Strong Buy to Buy requires trimming only to the Buy maximum full position within 30 days. A re-score to Watch List (50–64) does not force an immediate sale: additions stop and the 90-day review begins. Scores below 50 follow the rules immediately below.
32	Exit Review (35–49). Classify as Exit Review. Establish a dated 90-day remediation plan only when a credible, specifically documented path back to at least 50 exists; otherwise sell within 30 days.
33	Probationary Hold (50–64). No additions; a 90-day re-score is required. If it falls below 50, apply Rule 32. An approved Exit Review holding that has not returned to at least 50 by its 90-day deadline must be sold within 30 days; no extension is permitted.
34	Early Partial Trim. Probationary Hold only. If the same Tier 1 or Tier 2 indicator(s) that caused entry are reconfirmed unimproved or worse before the 90-day re-score (a new filing, a scheduled re-score, or equivalent documented evidence), trim one-third of the share count held at entry. May recur up to twice more in the same 90-day window (maximum three trims; full liquidation in the worst case). Trims are not reversed by a later recovery; recovery to 65 or above ends further trims. Not triggered by price movement alone.
35	Composite Score below 35: sell within 30 days unless a more urgent fundamental trigger requires earlier action.
<i>Opportunity-cost replacement</i>	
36	Replacement test. A lower-ranked holding may be replaced only when all of these hold: (a) the new opportunity clears the Entry Checklist and Valuation Ceiling (Part 4); (b) the score gap is at least 15 points across two consecutive quarterly re-scores; (c) the holding is not protected by Hold Through; (d) available cash cannot fund the required initial size, or doing so would breach a hard cap; and (e) the comparison, tax effect and capital constraint are documented before execution.
37	Replacement may not be invoked more than once per holding in any rolling 12-month period.

PART 7 — Portfolio Risk Management

38	Correlation cap. Quarterly, calculate pairwise correlations on weekly total returns over the longest common period up to 36 months (24-month target, 12-month minimum). Flag any cluster of three or more holdings with pairwise correlation above 0.70 and document the shared economic risk driver. A new position that expands a flagged cluster starts at 50% of the normal initial size, and the cluster's aggregate exposure may not exceed 20% without written approval. A risk-review trigger, not an automatic forced sale.
39	Drawdown response. Drawdown restrictions on new deployment apply automatically and are not overridden by individual conviction. Higher cash levels are reached through the Cash-Raising Waterfall, not by indiscriminate sale of fundamentally intact holdings. Normal deployment resumes when the regime-exit test is met; security-specific sizing restrictions remain until the holding is re-scored.

PART 8 — Tax-Aware Portfolio Management

40	Mandated sells. A sell mandated by a fundamental deterioration trigger (Part 6) executes within its required window regardless of holding period or tax lot.
41	Discretionary trims. A discretionary trim (valuation-driven, sizing or sector-cap) may be delayed up to 30 days to let a lot reach long-term status, provided the delay does not violate any hard rule.
42	Lot selection. When trimming a multi-lot position, use specific-lot identification and select the lot or combination expected to minimize after-tax cost. Highest basis is not always optimal: consider loss harvesting, short- and long-term rates, carryforwards and account-level constraints. Confirm the lot selection with the broker before the sale.
43	Loss harvesting. Losses in Probationary Hold, Exit Review or underwater positions may be harvested before a mandatory sell deadline only when the replacement is not substantially identical and the transaction is coordinated across the relevant household accounts. Redeploy proceeds subject to the target cash allocation and all portfolio risk rules.
44	Tax never decides. Tax considerations never independently trigger a trade; they govern only the timing and lot selection of a decision already justified elsewhere in the system.

PART 9 — Review Schedule, Documentation & Governance

45	Quarterly. Review all Watch List names and re-score any holding affected by material news.
46	Annually. Complete a full re-score of every portfolio position and review every exit from the prior year.
47	After every exit. Record the sell reason and the outcome versus the original thesis.
48	After a loss over 20%. After any loss greater than 20% from cost, run a post-mortem and identify the missed warning signals.
49	Every 2 years. Review the indicator weights; adjust only with documented evidence from multiple positions over time.

PART 10 — Sector Adaptations & Operating Definitions

50	Financial leverage caps. Composite Score capped at 65 (no Strong Buy) for banks with a CET1 ratio below 9%; insurers with an RBC ratio below 350%; brokers and asset managers with net leverage (excluding client matched-book financing) above 3x tangible equity, or Debt/EBITDA above 3x for fee-based asset managers. Reasoned defaults, to be reviewed and confirmed before being relied upon.
51	Financial valuation ceilings. No new financial-company position when its multiple exceeds P/TBV of 2.5x (banks), P/B of 2.0x or P/E of 20x (insurers), or P/E of 25x (brokers and asset managers), unless both a documented ROE/growth justification and a tested sector-specific Bear Case clear the same threshold required by the Bear-Case Implied Return Test (Part 4). Reasoned defaults, to be reviewed and confirmed before being relied upon.

QUICK REFERENCE

Tables and lists the numbered rules lean on, taken from the Parts themselves (they are not numbered rules).

Decision bands (Part 3)

Score	Decision	New candidate	Existing holding
80–100	STRONG BUY	Initiate up to max initial size; build only after confirmation	Core Hold / Add, subject to sizing and entry rules
65–79	BUY	Initiate up to max initial size; build only after confirmation	Hold; trim only if above Buy maximum or another rule requires action
50–64	WATCH LIST	No new capital; monitor for improvement	Probationary Hold; no additions; 90-day review plan
35–49	AVOID	Do not initiate; revisit only after material improvement	Exit Review; sell within 30 days unless a dated 90-day remediation plan is approved
Below 35	PASS	Remove from active coverage	Mandatory sell within 30 days

Position sizing (Part 5, Rules 15–21)

Composite Score	Max initial position	Max full position
80–100 (Strong Buy)	5% of portfolio	8% of portfolio
65–79 (Buy)	3% of portfolio	5% of portfolio
Below 65	0%	0%

Sizing modifiers

- Insider ownership above 5% with recent open-market purchases: +1% to max position
- Debt/FCF above 4x: –1% to max position (fragility discount)
- Single customer above 30% of revenue: –1% to max position
- Position in same sector as an existing holding above 5%: cap combined sector exposure at 25% of portfolio
- Macro headwind active (Part 7): –1% to all new positions in affected sectors
- Beta overlay: Rule 21

Portfolio drawdown response (Part 7, Rule 39)

Drawdown	Status	Required response
0–10%	Normal	Standard sizing and the 5–15% cash rules (Part 5).
10–20%	Elevated	Raise the cash floor to 15% minimum. Suspend initiation of new positions scored below 80 (Strong Buy only).
20–30%	Severe	Raise the cash floor to 20% minimum. Suspend all new position initiation regardless of Composite Score. Hold Through rules remain in force for fundamentally intact holdings.
30%+	Critical	Raise the cash floor to 25% minimum. Re-score the full portfolio within 2 weeks. Document whether the decline reflects fundamentals, valuation compression or macro conditions before any further action.

Drawdown is measured on aggregate portfolio total return, net of external deposits and withdrawals, from the trailing high-water mark (daily closing values when available, otherwise weekly). A regime begins after five consecutive trading days beyond a threshold and ends after ten consecutive trading days inside the less restrictive band. A new high-water mark resets the measurement.

Macro overlay (Part 7)

Condition	Effect on the system
Rising rate environment (Fed tightening cycle active)	Reduce max position size by 1% for high-multiple growth stocks (P/FCF above 40x). Favor FCF yield and low-debt names.
Inverted yield curve (2s/10s inverted more than 3 months)	Raise the cash floor to 10% minimum. No new positions in cyclicals or leveraged businesses. Favor defensive compounders.
Credit spreads widening rapidly (HY spreads above 600 bps)	Pause all new entries. Reassess existing holdings with Debt/FCF above 3x. Hold cash.
Broad market downtrend (SPY below its 200-week MA)	Reduce all new position sizes by 50%. Continue holding fundamentally intact positions. Accumulate Watch List candidates for entry when the trend recovers.
Sector-specific regulatory / geopolitical risk	Reduce the sector cap from 25% to 15% for the affected sector. Re-evaluate moat scores for regulatory dependency.

Macro overlays are temporary modifiers: when the condition resolves, revert to standard sizing.

Hold Through: do NOT sell based on these alone (Part 6)

- A short-term price decline of 20–30% with no change in Tier 1/2 fundamentals: this is noise.
- One quarter of earnings miss: evaluate the cause; sell only if it signals structural deterioration.
- Analyst downgrades: a lagging indicator; revisit Tier 1/2 signals instead.
- A market-wide selloff: if fundamentals are intact, often an opportunity to add, not sell.
- Narrative shift or negative press: evaluate facts, not sentiment.

When rules conflict: higher rank wins (Part 10)

1. Mandatory fundamental sell triggers
2. Legal, regulatory, account and liquidity constraints (mandatory tax compliance, e.g. wash-sale rules, falls here)
3. Portfolio hard caps and drawdown restrictions
4. Entry eligibility and valuation ceilings
5. Position sizing and staging
6. Opportunity-cost replacement
7. Tax optimization (discretionary lot selection and loss harvesting; never a mandatory compliance matter)

A lower-ranked rule may never override a higher-ranked rule. Document any unresolved conflict before trading.

What to avoid (Part 11)

Avoid	Why
P/E ratio as primary filter	Use only as a secondary cross-check.
Analyst 12-month price targets	A sentiment and estimate-dispersion check only.
Earnings surprises as primary signal	Insufficient for a multi-year thesis.
Narrative momentum ("AI will change everything")	Require evidence in revenue, margins, cash generation and implied return.
Averaging down into deteriorating fundamentals	Price decline is often opportunity; fundamental deterioration is a reason to sell. Never add when Tier 1 scores are falling.
Over-diversification below conviction threshold	Hold only qualifying ideas and comply with portfolio risk limits.
Market timing as a primary strategy	Use the macro-overlay to adjust staging and risk, not as an all-in / all-out forecast.